

Chapter Introduction



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Learning Objectives

After studying this chapter, you should be able to

- use the resource-based and institution-based views to answer why foreign direct investment (FDI) takes place.
- understand how FDI results in ownership, location, and internalization (OLI) advantages.
- identify different political views on FDI based on an understanding of its benefits and costs to host and home countries.
- participate in two leading debates concerning FDI.
- draw implications for action.

Opening Case

Emerging Markets: Indian FDI in Britain

Britain has been a favored destination of foreign direct investment (FDI) from India since economic reforms were launched in the early 1990s. According to a UK Trade and Investment (UKTI) report, Indian FDI helped create as many as 7,255 jobs in Britain in 2012 alone. From a recent Ernst and Young report, 49% of India's outward FDI goes to Britain, and India has been among the top five countries undertaking FDI in Britain. Among the Brazil, Russia, India, China and South Africa (BRICS) countries, India ranks first in terms of FDI in Britain. The Tata Group alone employs more than 50,000 employees in 19 companies operating in the UK. It is now the largest private-sector employer in the UK. In total, more than 100,000 jobs are created by Indian FDI in Britain.

The 2008 acquisition of Land Rover and Jaguar from Ford by Tata for more than US\$2.3 billion was a significant milestone of Indian FDI in Britain. Turning around the initial losses and tripling revenues have become a new success story of profitable acquisitions by multinationals from a developing country. In a Grant Thornton report, the top 41 fastest-growing Indian companies in Britain contribute more than US\$30 billion in revenue. Automotive, service, technology, and telecommunication sectors dominate the largest contributors.

The Indian government's continued reforms in FDI policies and the booming entrepreneurial culture in India further aid the overall outward FDI from India. The inflows of dividends from overseas investments in joint ventures and wholly owned subsidiaries enjoy a 50% reduction in the tax rate. There are also some tax benefits and incentives for businesses created with FDI outflow. With the election of Narendra Modi as the prime minister in the elections of May 2014, there is increased optimism in economic growth, which may further aid FDI initiatives.

In 2011, India overtook Ireland in the number of non-UK-born residents in Britain, although Ireland is so much closer geographically. Hundreds of years of cultural links, an increasing Indian diaspora in Britain, and the growing stature of India are significant contributors behind the increase of Indian FDI in Britain. While the manufacturing export segment in the UK is weak, increase of FDI from emerging economies, such as India, would help boost the manufacturing segment and propel exports from Britain (such as Made-in-UK Jaguar and Land Rover) to emerging economies.

However, not all is rosy. While not specific to Britain, Indian outward FDI growth has potential risks. A key risk is foreign currency exchange fluctuations. Purchase of foreign exchange in India is one of the common methods of funding overseas investments, while swapping of shares of an Indian entity with those of an overseas entity and capitalization of foreign currency proceeds received for trade is also often

used. With India's heavy exposure to oil imports and current account deficit, Indian investors must be extremely careful about foreign exchange fluctuations. In a span of two months between July and August 2013, the Indian rupee (INR) devalued by more than 15%. Indian overseas investors could be heavily exposed to such currency fluctuations. Such steep fluctuations prompted the Reserve Bank of India to institute several measures, including limiting the amount of FDI outflows—thus putting projects on hold. Although these restrictive measures have been subsequently relaxed, they show a critical weakness associated with Indian outward FDI in general.

Although India and Britain share a special and long relationship hailed as a “relationship of choice,” shifting dynamics in the global economy, according to the *Economist*, makes India and Britain an “odd couple.” Simply put, they do not trade a lot. Global trade statistics show that India is ranked 18th on the list of Britain's export destinations and 17th as a supplier of imports. China's trade volume with India is four times that of Britain. In September 2014, China and India signed deals worth more than US\$20 billion and trade winds are blowing differently than before.

In addition, although the September 2014 referendum for Scotland independence was rejected by a 55-45 vote, the underlying currents create uncertainty in the minds of Indian executives entertaining FDI in Britain, when many other opportunities exist elsewhere in the world. India's political winds are also uncertain and can change for populist schemes for electoral gains. Given these risks and uncertainties in the global economy, multinationals from India and their partners in Britain would have to be persistent in order to sustain the momentum and realize the growth potential.

Sources: This case was written by Dr. Nagaraj Savithri (UT Dallas Global Leadership Executive MBA, Class of 2014, under the supervision of Professor Mike Peng). It was based on: (1) *Economist*, 2013, *Britain and India, The odd couple*, September 28; (2) *Ernst and Young*, 2014, *UK Attractiveness Survey*; (3) *Grant Thornton*, 2013, *India Meets Britain: Tracking the UK's Top Indian Companies*; (4) H. R. Khan, 2012, *Outward Indian FDI—Recent Trends and Emerging Issues*, Mumbai: Reserve Bank of India; (5) N. Robins, 2006, *The Corporation that Changed the World: How the East India Company Shaped the Modern Multinational*, London: Pluto; (6) M. W. Peng & K. Meyer, 2013, *Winning the future markets for UK manufacturing output, Future of Manufacturing Project: Evidence Paper 25*, London: UK Government Office for Science; (7) *Tata Group*, 2014, *Corporate Sustainability in the UK*; (8) *UK Trade and Investment (UKTI)*, 2013, *2012/13 Inward Investment Annual Report*.

Why are many Indian firms increasingly interested in outward foreign direct investment (FDI)? Why are they interested in Britain in particular? Why do some of them succeed and others struggle? Recall from [Chapter 1](#) that FDI is defined as directly investing in activities that control and manage value creation in other countries. Also recall from [Chapter 1](#) that firms that engage in FDI are known as multinational enterprises (MNEs). In 2014, while most developed economies slowly recovered from the Great Recession of 2008–2009,

emerging economies as a group attracted approximately 60% of the FDI inflows. Firms from emerging economies, such as those from India discussed in the Opening Case, generated approximately 40% of FDI outflows worldwide.

This chapter starts by first clarifying the FDI terms. Then we address a crucial question: Why do firms engage in FDI? We outline how the two core perspectives introduced earlier—namely, resource-based and institution-based views—can help answer this question. Debates and implications for action follow.

Chapter 6: Investing Abroad Directly Chapter Introduction

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